

COUNTY OF CALAVERAS v. GLOBAL DISCOVERIES LTD, LLC, et al.

22CV45773

PLAINTIFF'S MOTION FOR INTERPLEADER DISCHARGE

This case involves a nonjudicial tax lien sale of real property. After the satisfaction of fees, costs and encumbrances, there remained a surplus of \$51,219.06. Plaintiff received two competing Revenue & Tax Code §4675 claims to the surplus funds:

1. On 02/03/20, County received a claim from John Patrick Egan, as a qualified heir of the owner of record.
2. On 05/22/20, County received a claim from Global Discoveries, as assignee of Stephen Alongi, a party in interest.

Based on the information provided, County rejected the claim from Global Discoveries, concluding that the information provided did not establish that Stephen Alongi was in fact a party in interest as defined by R&T Code §4675. Global Discoveries modified its claim, contending that its assignee was at least entitled to a 1/3 intestate succession interest in the property. County did not respond to the modified claim, prompting Global Discoveries to file suit on 04/30/21 (see 21CV45313). That suit took the form of a petition for a writ of mandate, asserting that the County had a ministerial duty to accept its claim. Global Discoveries never served John Patrick Egan, and eventually dismissed the action on County's representation that it would file an interpleader action which was filed on 01/07/22.

Before the Court is County's motion to be discharged, as well as a request for reimbursement of fees/costs. Interpleader is a procedure whereby a party holding money or property concerning which conflicting claims are being made, can join the adverse claimants and force them to litigate their claims among themselves. Once the stakeholder's right to interplead is established, and he or she deposits the money or property in court, he or she may be discharged from liability to any of the claimants. This enables the stakeholder to step away from the litigation and leave the competing claimants to fight it out. (See CCP §386(b); in accord, *Hood v. Gonzales* (2019) 43 Cal.App.5th 57, 73-74; *Southern Calif. Gas Co. v. Flannery* (2016) 5 Cal.App.5th 476, 484-485; *Shopoff & Cavallo LLP v. Hyon* (2008) 167 Cal.App.4th 1489, 1499-1501; *City of Morgan Hill v. Brown* (1999) 71 Cal.App.4th 1114, 1126-1127.)

County is entitled to the equivalent of a discharge from liability since it makes no claim of ownership in the funds, and because it runs the risk of conflicting judgments if it is sued by both claimants. That portion of the motion is GRANTED. However, an anomaly exists since in most interpleader actions the stakeholder is a defendant, which avoids realignment and substitution of the parties. (See CCP §§ 386(a), §386.5.) There is no clear alignment in this instance given that John Patrick Egan was first to claim, but Global Discoveries was first to file suit. Since County determined that John Patrick Egan

was the rightful claimant, he shall be realigned as plaintiff with regard to further proceedings.

County's request for fees and costs is DENIED. Although CCP §386.6 provides that "in ordering the discharge of such party, the court may, in its discretion, award such party his costs and reasonable attorney fees from the amount in dispute which has been deposited with the court," there was no need for an interpleader action. County made a determination that John Patrick Egan had the superior right to the surplus funds, that Global Discoveries had no right, and that the funds belonged to Egan. Upon making that determination, "the excess proceeds shall be distributed on order of the board of supervisors." (R&T Code §4675(e)(1).) County had an obligation to disburse the funds, and deal with any claim by Global Discoveries thereafter. (R&T Code §4675(g); in accord, *Azadozy v. Nikoghosian* (2005) 128 Cal.App.4th 1369, 1373; *Fjaeran v. Board of Supervisors* (1989) 210 Cal.App.3d 434, 439.) Proceeding via interpleader is not specifically authorized as an option under R&T §4675 (as it is for other surplus funds matters – see Civil Code §2924j), and thus reflects a choice of remedies by County to avoid direct litigation.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal Order is required.